

Unraveling the Financial Crisis in the Northshore School District

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Twenty-six million dollars. A seemingly mind-boggling sum of money to a young student. For reference, Michael B. Jordan's net worth is a measly \$25 million.

For months, the news of our school district's crushing debt has been circulating through the halls of Bothell High School. The effects have been felt by students, teachers, faculties, and families alike. With the elimination of loved programs like rowing and elementary school music education, there is some discontent with recent Northshore School District (NSD) decisions, yet not many fully know the extent to which these decisions may significantly impact students in the future and beyond and its current status. Among the confusion and lack of communication, one simple question arises: *Why? Why has such a large debt incurred and what process does the district take in cutting certain programs?* These questions are imperative for the prevention of any more cherished programs from facing cuts.

The NSD website provides some answers to these questions in the 2024-25 Budget Development webpage. There, they describe an anticipated "budget deficit for the 2024-25 school year," and list several contributing factors to the deficit. In order, the factors include declining student enrollment, the increasing of support programs, and the state's underfunding of public education. Another webpage described COVID as a central reason for the budget deficit. Although the vulnerability and transparency of the NSD are commendable, there may be more that lies beneath the surface.

Upon reading some of the contributing factors to the deficit, an anonymous student had the following to share. "I feel like [the NSD] is equivocating some of the information - all the

writing is in 3rd person and doesn't take responsibility, especially since so many loved programs are being eliminated."

One cause may be regionalization. Crystal Rediske, the Bothell High School AP psychology and independent living teacher and frequent participant in district meetings for over 15 years now, had some thoughts about the situation, and why she thinks the NSD has incurred such a large amount of debt. Rediske believed that the NSD's regionalization efforts are the most significant contributing factor to the budget crisis. As Rediske describes it, "regionalization essentially means an unnecessary cost of salaries." A regionalized district means that it is separated into subsections - like a North, East, West, and South part of the district, which greatly increases the amount of administrative staff who work directly for the district. Rediske thought that regionalizing the NSD was a big mistake: "Our district is considered fairly small, so the regionalization is super unnecessary." She continues further by explaining that NSD administrative staff have high salaries, and each regionalized superintendent would have their own regional assistants.

As it follows, by multiplying the amount of admin, the district would have to spend notably more money on salaries. One website which reports on all federally employed individuals lists the range of salaries for the top 5 NSD's deputy assistant superintendents - \$266,666, \$244,083, and \$231,805 for the next three positions.

"Our district was operating fine until Dr. Reid established regionalization. Once that happened... poof," Rediske said.

Ethan Nguyen is one of the few NSD student representatives, and his position allows him to attend district meetings and be involved in the NSD's decision-making. I interviewed him

on his thoughts, and he believes that there are multiple causes at play. “Our district has an overspending problem,” Nguyen said. He continued to describe how COVID had only exacerbated this problem, as the district received grants. Continuously investing in new programs and opportunities has deepened this debt, and it has been accumulating for two years. “We didn’t want to cut anything for these two years because we wanted the state to save us,” Nguyen said. The state’s refusal to provide additional funding to school districts is what caused the NSD to consider alternate options to reduce the debt, namely budget and teacher cuts. Nguyen describes how Washington State uses the prototypical school model, where the state funding for each district is dependent on enrollment.

This leads to another issue concerning the budget cuts. “People here aren’t having enough kids,” Nguyen says. Rediske agrees with this point: “Tech families don’t have kids anymore”. The decreasing birthrate goes hand-in-hand with the high costs of living in the Northshore area, of which the impacts are apparent. Families are moving out of the area due to the rising living costs, and not many families are moving into this area. Those who do move in are not having enough kids. “We need two-point-four kids per family to maintain enrollment rate,” Rediske said.

Nguyen said that the district is losing 100 students per year. “The prototypical school model is honestly outdated. We are losing students, so we are losing money.”

Aside from the decreasing birth rate, Rediske offers another explanation for the lowering enrollment rate. “Huge boosts [in funds] were supposed to go towards Special Education”.

Rediske told me that she lives in a community that is in between districts, so she routinely chats with neighbors who are part of the NSD, among several others. “I’ve talked to a few families of kids with learning differences, and they said that while these kids are being properly diagnosed,

they are not supported with current NSD efforts, and choose to attend specialty schools.” This means more students leaving NSD, which may play a part in their decreasing enrollment rate. We have identified several potential reasons for the NSD’s debt, but the past is in the past; what can we do about it now? It turns out that the NSD has actually resolved a majority of the costs as part of the 2024-25 budget reduction plan. “We’ve made a lot of progress towards closing the deficit, there’s only 200,000 dollars left,” Nguyen said. Note that this means that 99.2% of the debt has been recouped. Nguyen detailed the progress made to reduce the NSD debt and the decision of certain budget cuts. “The admin team made a list, then talked about it with students and staff unions. After this, the recommendation list was sent to the School Board, and it got approved.”

The contents of this list? Nguyen said that the elimination of the 5th grade music program shaved off \$700,000, considering the cost of instruments and transportation. The cost of running the rowing program is \$145,000. The Woodmoor pool also cut down a large portion, as well. These were all the costs that Nguyen told me, but the question of how the rest of the debt was recouped is still baffling.

After conducting more research, however, the numbers begin to add up more. Amber Kinder, head of Bothell High School’s English department, was able to talk about some recent district decisions. She mentioned there is a “hiring freeze” in the district, along with the increase in class sizes. While the 7-period school day is staying (as declared in the 2024-25 NSD Budget Reduction Summary email), class sizes are increasing to cut teacher costs. Currently, a typical class is around 31 students, and teachers receive a bonus for additional students. Now, this is increasing to over 33 students, potentially reaching 40 in some cases. Every class will only be running if there are at least 20 students in the class, meaning the elimination of smaller classes.

I asked Nguyen what we could do to help prevent the loss of any more loved programs, to which he responded the following: "Not much." He described that the future of the NSD is "very unpredictable". Unfortunately, the cut programs will not be returning in the foreseeable future. The NSD administration team hired a population demographer to analyze local trends, and they calculated that the decreasing birth rate would continue for at least another 6 years.

While only \$200,000 remains in NSD debt, there's still a rocky road to financial and overall stability. Certain programs (including choir programs, SRO, and sports) are "on the bubble" and may potentially be cut, and it seems that no one truly knows what will happen next. Yet amidst the uncertainty, one thing remains clear: the need for greater student involvement in decision-making processes. By fostering a more collaborative approach to innovate new solutions, the NSD can make decisions that better reflect the opinions of the stakeholders and keep students and staff routinely in the know to better preserve cherished programs eliminate unnecessary spending, and pave the way for a more stable and sustainable future.